

January 30, 2026

To the Editorial Office of the *Journal of Financial and Quantitative Analysis*,

We are pleased to submit our manuscript, “The ‘Scar Tissue’ of ODTE: Identifying Structural Shifts in Dealer Inventory and Overnight Risk Premia,” for consideration at the *Journal of Financial and Quantitative Analysis*.

This paper documents a fundamental structural shift in equity index options markets, characterized by the emergence of persistent dealer gamma regimes. We propose and validate a “Scar Tissue” transmission mechanism: our findings suggest that concentrated intraday hedging flows from ODTE options leave residual inventory that market makers are forced to carry overnight, resulting in a documented “great divergence” where overnight risk premia (+21.2%) significantly outperform intraday returns (+0.6%) in the post-ODTE era.

To identify these regimes, we employ a structural reasoning framework utilizing the OpenAI o4-mini-2025-04-16 snapshot. This methodology allows for continuous quality discrimination (confidence scoring) and linguistic auditability that traditional binary rule-based scripts cannot provide, while maintaining strict anonymity through an obfuscation testing protocol.

We believe this work provides a timely contribution to the market microstructure literature by identifying how ultra-short-term options proliferation has fundamentally reorganized the overnight risk profile of the broader market.

This manuscript is not currently under consideration at any other journal. Thank you for your time and for the opportunity to have our work reviewed.

Sincerely,

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